DoorDash (DASH) — A Buffett & Munger Fundamentals-Based Analysis

Date: March 2, 2026 | **Current Price:** ~$176 | **Market Cap:** ~$77B | **52-Week Range:** $155–$286

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1. How Does DoorDash Make Money?

DoorDash operates a three-sided marketplace connecting consumers, merchants (restaurants, grocers, retailers), and delivery drivers ("Dashers"). Revenue comes from several streams:

Marketplace Commissions — DoorDash charges merchants a commission (typically 15–30% of order value) for listing on its platform and handling delivery logistics. This is the core revenue engine. In 2025, the company facilitated ~$100B+ in gross order value (GOV) across its platforms (DoorDash, Wolt, and now Deliveroo).

Consumer Fees — Delivery fees, service fees, and small-order fees charged to consumers at checkout. These are partially offset for DashPass subscribers ($9.99/month), who get free delivery on eligible orders. DashPass and Wolt+ now have ~26 million subscribers — a recurring, high-retention revenue base.

Advertising — An increasingly important and high-margin revenue stream. Merchants pay for promoted listings, sponsored placements, and banner ads within the app. This is analogous to Amazon's advertising flywheel and is growing rapidly as the marketplace matures.

DashMart & Fulfillment — DoorDash operates its own fulfillment centers (DashMarts) for convenience and grocery items, and offers white-label delivery services (DoorDash Drive / Wolt Drive) to merchants who want to use DoorDash's logistics without listing on the marketplace.

SevenRooms (acquired 2025, ~$1.2B) — Restaurant CRM, reservations, and guest management software. This deepens DoorDash's relationship with merchants beyond delivery into dine-in operations.

Revenue Trajectory

Year	Revenue	YoY Growth	GAAP Net Income	Adj. EBITDA
2022	$6.58B	—	–$1.37B	$0.36B
2023	$8.64B	+31%	–$558M	$1.29B
2024	$10.72B	+24%	+$123M (first annual profit)	$1.83B
2025	$13.72B	+28%	+$935M	$2.78B

The trajectory is notable: DoorDash has gone from heavy losses to nearly $1B in annual profit in just two years, while still growing revenue at ~25–28%.

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2. The Moat Question — Through Buffett's Lens

Buffett looks for durable competitive advantages. DoorDash's moat is real but not impregnable. Here is an honest assessment:

Where the Moat Is Strong

Network Effects (the "three-sided flywheel"): More consumers attract more merchants, which attracts more Dashers, which improves delivery speed and selection, which attracts more consumers. DoorDash has the largest consumer base (~46M active users), the most merchants (~590,000 partners), and the most drivers (~8M Dashers worked in 2024). This is the single most important competitive advantage.

Dominant U.S. Market Share: DoorDash holds ~60–67% of U.S. food delivery market share (depending on the source and measurement), roughly 3x Uber Eats and 6x Grubhub. This dominance has been stable and even slightly increasing since 2020. In Buffett's framework, being the category leader with a widening share is a powerful signal.

DashPass Subscriber Lock-In: With 26M+ subscribers paying monthly, DoorDash benefits from behavioral lock-in. Subscribers order more frequently and are less likely to switch platforms — similar to Amazon Prime's effect on e-commerce spending.

Data & Logistics Advantage: DoorDash's "Deep Red" AI system optimizes routing, delivery time estimates, and Dasher matching. Years of accumulated data across millions of deliveries create an operational advantage that is difficult to replicate quickly.

Advertising as a Margin Lever: As the marketplace matures, the advertising business becomes a near-pure-profit layer on top of existing transactions. This mirrors Amazon's advertising evolution and is a structural advantage of scale.

Where the Moat Is Vulnerable

Low Switching Costs for Consumers: Despite DashPass, most consumers will check multiple apps for better prices, selection, or promos. There is no true "lock-in" the way switching costs work in enterprise software.

Uber Eats Is a Formidable #2: Uber has a cross-platform advantage (rides + delivery bundled via Uber One with 46M members). In key metros like NYC and LA, Uber Eats and DoorDash are essentially tied. Uber's global footprint (45+ countries) also dwarfs DoorDash's outside North America.

Commodity-Like Service: At its core, food delivery is logistically complex but not differentiated. The food arrives the same way regardless of platform. Moats built on convenience and network effects can erode if a competitor offers better economics.

Regulatory Risk: Cities like NYC, San Francisco, and others have imposed fee caps on commissions charged to restaurants. Federal-level gig worker reclassification (AB5-style legislation) remains an existential regulatory risk to the unit economics model.

Munger's "Competitive Destruction" Concern: Munger would note that DoorDash has never faced a sustained price war from a well-capitalized competitor willing to burn cash. If Amazon or Uber decided to aggressively subsidize delivery, DoorDash's margins could evaporate quickly.

Moat Rating: Moderate-to-Good in the U.S., Unproven Internationally

DoorDash's U.S. moat is the strongest in the industry but is a "network effects + scale" moat rather than a "switching costs + IP" moat. It requires constant reinvestment to maintain.

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3. Revenue Distribution: U.S. vs. International

Region	FY2022	FY2023	FY2024	FY2025 (Est.)	FY2025 Est. %
United States	$6.25B	$7.78B	$9.40B	~$11.3–$11.5B	~82–84%
International (Non-US)	$0.33B	$0.85B	$1.32B	~$2.2–$2.4B	~16–18%
Total	**$6.58B**	**$8.64B**	**$10.72B**	**$13.72B**	**100%**

Note on FY2025 estimates: The FY2025 10-K geographic detail has not yet been fully populated in third-party databases (Q4 2025 earnings were only released on February 18, 2026). However, we can estimate the split with reasonable precision. As of Q3 2025, the quarterly split was approximately 84.9% US / 15.1% Non-US — and that was *before* Deliveroo was consolidated (the acquisition closed on October 2, 2025). The Q4 earnings press release disclosed that excluding Deliveroo, Q4 revenue grew 26% YoY, implying organic Q4 revenue of ~$3.62B and a Deliveroo contribution of approximately $335M in Q4 alone. Working backward across the four quarters, international likely reached ~16–18% of full-year revenue.

The critical forward-looking point: With a full year of Deliveroo in FY2026 (Deliveroo generated ~£2.0B / ~$2.5B in standalone annual revenue for FY2024), international could approach **25–30% of total revenue** in FY2026. This represents a meaningful geographic diversification from the 5% international share just three years ago.

International revenue has been the fastest-growing segment (+54% YoY in 2024, likely accelerating further in 2025 with the Deliveroo addition). DoorDash now operates in 40+ countries.

Buffett Observation: The business remains predominantly U.S.-dependent, but the international mix is shifting rapidly. The key question is whether international growth comes with acceptable margins, or whether DoorDash is buying revenue growth with thin-to-negative profitability abroad — a pattern Buffett would view skeptically.

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4. The Deliveroo Acquisition

Price: ~$3.9B (£2.9B) in cash, at 180 pence/share — a 44% premium to the pre-offer share price.

What DoorDash Gets:

- Operations across 9 countries: UK, France, Italy, Belgium, Ireland, Singapore, Kuwait, Qatar, and UAE
- ~176,000 merchant partners and 130,000+ riders
- ~7 million monthly active consumers
- A brand with strong recognition in the UK and France
- FY2024 financials: ~£7.1B GTV, ~£2.0B revenue, ~£140M adjusted EBITDA, first-ever annual pre-tax profit of £12M

Management Projections:

- Deliveroo expected to contribute ~$45M in adjusted EBITDA in Q4 2025 (it delivered slightly above this)
- Target of ~$200M in adjusted EBITDA contribution from Deliveroo in 2026
- Long-term: DoorDash intends to apply its best-in-class logistics and technology stack to accelerate Deliveroo's growth, similar to the Wolt playbook

Strategic Rationale: Deliveroo gives DoorDash a footprint in Western Europe and the Middle East where Wolt had limited presence. Together with Wolt (strong in Nordics, Central/Eastern Europe, and Japan), DoorDash now has a comprehensive international portfolio covering ~1 billion people.

The Risk: DoorDash paid a meaningful premium for a business that was barely profitable. Integration of two acquired companies (Wolt + Deliveroo) simultaneously while building a new unified tech stack is operationally complex. Europe also has tougher labor regulations and lower margins than the U.S.

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5. Management's Growth Outlook

CEO Tony Xu has articulated a vision well beyond food delivery. Management's forward-looking priorities include:

1. **Expanding the "local commerce" TAM:** Grocery, retail, convenience, alcohol, pharmacy — all of these verticals are growing on the platform. Management views the total addressable market as the ~$1 trillion+ local convenience economy.
2. **International expansion:** The Wolt and Deliveroo acquisitions are pieces of a global jigsaw. Management expects international to become a much larger share of revenue over the next 3–5 years.
3. **Autonomous delivery:** DoorDash launched its in-house delivery robot "Dot" in late 2025 and has partnerships with Serve Robotics. Long-term, autonomous delivery could dramatically improve unit economics by reducing Dasher costs.

4. **Advertising monetization:** Growing the ad business is a high-margin lever. Management sees significant runway as more merchants adopt promoted listings and sponsored placements.
5. **Restaurant software (SevenRooms):** Moving beyond delivery into the full restaurant operating system — reservations, CRM, loyalty, and tableside ordering.

$5B Buyback Authorization: In February 2025, the board authorized up to $5.0B in share repurchases. As of February 17, 2026, DoorDash has *not repurchased any shares* under this authorization. This is a significant untapped lever — at current prices (~$176), the $5B could retire roughly 6.5% of the market cap. A Buffett-style investor would note that management's willingness to authorize a large buyback but not execute it at depressed prices could signal either disciplined capital allocation (waiting for even lower prices) or a preference for M&A over returns to shareholders.

Q1 2026 Guidance: Marketplace GOV of $31.0–$31.8B and Adjusted EBITDA of $675–$775M. Management expects EBITDA margins (as % of GOV) to improve slightly YoY in 2026 (excluding Deliveroo), with Deliveroo contributing ~$200M in EBITDA. Management expects the second half of 2026 to be significantly stronger than the first half due to seasonality and investment phasing.

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6. What Precipitated the Stock Price Drop?

DoorDash hit its 52-week high of ~$286 in October 2025. As of today, it trades around $176 — a decline of roughly 38% from peak. The key catalysts:

November 2025 Earnings (the big drop): On November 5–6, DoorDash reported Q3 2025 results that missed profit expectations. EPS came in at $0.55 vs. the $0.69 consensus. While revenue beat estimates ($3.45B vs. $3.36B expected), the stock fell ~17% in a single session — its worst day ever. The triggers were:

- **Spending announcement:** Management said it planned to invest "several hundred million dollars" more in 2026 on new product initiatives — autonomous delivery, a new unified global tech platform, and further international expansion. Investors saw this as near-term margin compression.
- **Weak Q4 EBITDA guidance:** The Q4 2025 EBITDA midpoint of $760M was well below the $822M Wall Street expected. **Actual Q4 result:** DoorDash ultimately delivered $780M in adjusted EBITDA — beating its own guidance midpoint by $20M and landing in the upper half of its range. Deliveroo's contribution slightly exceeded the stated $45M expectation. So management under-promised and over-delivered, but the damage to sentiment was already done.
- **The pattern continues into Q1 2026:** Management guided Q1 2026 EBITDA to $675–$775M vs. a street estimate of ~$802M — once again below expectations. The shortfall was attributed to incremental Deliveroo investment, a ~$20M impact from severe U.S. storms, and rising Dasher costs per order. However, management expects EBITDA margins to improve sequentially through 2026, with the second half significantly stronger than the first.

- **Acquisition digestion concerns:** With $5.1B spent on Deliveroo and SevenRooms in 2025, investors worried about capital allocation and integration risk.

Q4 2025 Actual Results (reported February 18, 2026): Despite the mid-November crash, Q4 2025 was actually a strong quarter operationally. Revenue grew 38% YoY to $3.96B (though slightly missing the $3.99B consensus). Total orders surged 32% to 903M. Adjusted EBITDA reached $780M (+38% YoY). GAAP net income was $213M. However, EPS of $0.48 missed the $0.59 consensus. The stock initially dropped ~10% after hours on the miss, then recovered +14% during the earnings call as CEO Tony Xu expressed confidence in the investment strategy and highlighted strong Deliveroo performance. DoorDash exited 2025 with 56 million monthly active users and 35 million membership subscribers (DashPass + Wolt+ + Deliveroo Plus).

Broader market headwinds: The stock has been further pressured by macro concerns about consumer spending resilience, rising Dasher costs per order, and general tech valuation compression in early 2026.

Insider activity: CEO Tony Xu sold ~$218M worth of shares in the trailing 6 months (routine 10b5-1 plan sales), while board member Alfred Lin purchased ~$100M. The mixed signals added to investor uncertainty.

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7. Valuation — How Should You Think About It?

Current Multiples (at ~$176/share, ~$77B market cap)

Metric	Value
EV/Revenue (2025)	~5.5x
EV/EBITDA (2025 adj.)	~28x ($2.78B full-year EBITDA)
EV/EBITDA (2026E adj.)	~22–23x
P/E (2025 GAAP)	~82x
P/E (2026E)	~53x (based on ~$3.34 consensus EPS)
PEG Ratio	~0.13 (based on InvestingPro)
Free Cash Flow (2025)	~$1.8B
Price/FCF	~43x
Monthly Active Users (Dec 2025)	56 million
DashPass/Wolt+/Deliveroo Plus Members	35 million
Cash & Short-Term Investments (Dec 2025)	$5.78B

Metric	Value
Stock-Based Compensation (2025)	~$2.6B (guiding to $1.3–$1.4B in 2026)

The Buffett/Munger Valuation Lens

Buffett and Munger would likely observe the following:

The positive: DoorDash is dominant in its category, growing revenue at 25–28%, has achieved GAAP profitability, generates $1.8B in free cash flow, and is reinvesting from a position of strength. The advertising business is a high-margin tailwind that should improve margins structurally over time. If you believe DoorDash can compound revenue at 15–20% for the next 5 years while expanding EBITDA margins from ~2.5% of GOV to 4–5%, the current valuation could be justified.

The concern: At ~28x trailing EBITDA and ~82x GAAP earnings, this is not a "wonderful business at a fair price" — it is more like a "good business at a premium price." Buffett typically avoids businesses where you have to project many years of aggressive growth to justify the current valuation. The margin of safety is thin. Additionally, stock-based compensation remains elevated at ~$2.6B in 2025 (roughly 19% of revenue), which significantly dilutes per-share economics. Management has guided SBC down to $1.3–$1.4B in 2026 — a meaningful improvement that, if achieved, would enhance earnings quality.

What would make this a Buffett buy? A price closer to $120–$140 (roughly 12–14x 2025 EBITDA or ~15–18x 2026E EBITDA) would offer the kind of margin of safety Buffett prefers. At that level, you would be paying a more reasonable price for the dominant position and growth, while having downside protection if growth slows or margins disappoint.

A Simple 5-Year Scenario

Bull Case (30% probability):

- Revenue grows to ~$25B by 2030 (CAGR ~13%)
- EBITDA margins expand to 15% (advertising + operating leverage)
- EBITDA ~$3.75B → at 20x EV/EBITDA = ~$75B EV → ~$170/share (roughly flat from here)
- **But** if the market assigns a growth premium of 25x = ~$215/share (~22% upside)

Base Case (50% probability):

- Revenue grows to ~$22B by 2030 (CAGR ~10%)
- EBITDA margins reach 12%
- EBITDA ~$2.64B → at 18x EV/EBITDA = ~$47.5B EV → ~$110/share (~37% downside)

Bear Case (20% probability):

- Growth slows to mid-single digits as food delivery matures

- Margin pressure from competition and regulation
- Revenue ~$18B, EBITDA margin 8%, EBITDA ~$1.44B
- At 15x EV/EBITDA = ~$21.6B EV → ~$50/share (~72% downside)

Probability-weighted expected value: ~$130/share — suggesting the stock may still be somewhat expensive at $176, even after the selloff.

Note: These are illustrative scenarios, not precise forecasts. Actual outcomes depend on many variables.

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8. What Are Analysts Saying?

The sell-side remains overwhelmingly bullish. **Importantly, these estimates are current and actively maintained — not stale pre-crash targets.** Street expectations were reset downward after the November 2025 selloff, and the targets below reflect post-Q3 and post-Q4 2025 updates:

Metric	Value
Consensus Rating	**Strong Buy**
Buy ratings	34
Hold ratings	10
Sell ratings	0
Median Price Target	~$277–$280
High Target	$360 (Evercore ISI)
Low Target	$205 (DA Davidson / JP Morgan)
Implied Upside from Current	~55–60%

Recent analyst actions (post-Q4 2025 earnings on Feb 18, 2026):

- **DA Davidson** — lowered price target to $224 from $260, maintained Neutral. Cited strong core execution but valuation concerns. (Issued ~1 week ago)
- **Truist Securities** — raised price target to $340, maintained Buy. Cited solid Q4 results and Q1 2026 GOV guidance. (Post-Q4)
- **Bank of America** — reiterated Buy rating on February 27, 2026. (Days ago)
- **JP Morgan** — maintained Buy rating, post-Q4 update.

- **Morgan Stanley** — noted that DoorDash is reinvesting core U.S. restaurant profits and Deliveroo earnings into growth, consistent with its long-term philosophy.

The notable signal: The stock at ~$176 trades roughly 14% below even the lowest analyst target ($205). When a stock sits meaningfully below the floor of the analyst range despite recently updated estimates, it typically means the market is pricing in risks — macro consumer spending, integration execution, spending magnitude — that the models don't fully capture. However, it can also signal that the risk/reward is becoming asymmetrically attractive if you believe the fundamental thesis holds.

Key bull arguments from analysts:

- Dominant and widening U.S. market position
- International growth runway accelerating with Deliveroo
- Advertising revenue is a high-margin compounder
- Grocery/retail verticals approaching positive unit economics by H2 2026
- Strong management team with founder-led execution

Key bear/cautious arguments:

- Valuation remains stretched even after the selloff (DA Davidson maintains Neutral)
- Integration risk from simultaneous Wolt + Deliveroo + SevenRooms absorption
- "Several hundred million" in incremental 2026 spending creates near-term margin uncertainty
- Consumer discretionary spending is macro-sensitive — recession risk
- Regulatory risk from gig worker reclassification and city-level fee caps

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9. My Take — Synthesis

DoorDash is a genuinely impressive business. It has the dominant market position in a large and growing category, a founder-CEO who thinks long-term, and a platform that is evolving from food delivery into a broader local commerce operating system. The trajectory from $885M in revenue (2019) to $13.7B (2025) to first substantial GAAP profitability is remarkable execution.

However, approaching this the way Buffett and Munger would:

The fundamental challenge is that food delivery, while a big market, is not a business with naturally high margins or strong lock-in. DoorDash's gross margins are structurally constrained by the cost of paying Dashers, and its competitive position — while dominant today — requires continuous investment to defend. This is not a Coca-Cola or See's Candies where the product sells itself with minimal capital requirements.

The management is spending aggressively ($5.1B in acquisitions in 2025, plus "several hundred million" in incremental capex for 2026) on a vision that requires 3–5 years to play out. This is a bet on execution, not on an

existing cash cow. Buffett would likely say: "I admire the business, but I don't have enough confidence in what this looks like in 10 years to pay 33x EBITDA for it."

Regarding your 2% allocation at a 5-year horizon:

The case is *interesting* but not *compelling* at $176. The stock has fallen ~38% from its peak, but it started from a very elevated valuation. At current prices, the risk/reward is roughly balanced — meaningful upside if international expansion and advertising monetization exceed expectations, but meaningful downside if growth slows or margins disappoint.

If I were sizing this for a disciplined portfolio:

- **At $176:** A 1% "starter" position is defensible if you have high conviction in the long-term local commerce thesis and are comfortable with volatility. The analyst consensus of ~$280 implies significant upside, but analyst targets tend to be optimistic.
- **At $140–$150:** The risk/reward becomes more attractive. This would represent ~18x 2026 EBITDA and closer to the margin of safety Buffett would want.
- **At $120 or below:** This would be a compelling entry for a full 2% position, pricing in meaningful pessimism about growth while still getting the dominant U.S. platform.

Consider a staged entry — perhaps 1% now and adding to the position on further weakness — rather than committing the full 2% at current levels.

Key Risks to Monitor

1. **Consumer spending slowdown** — DoorDash is discretionary; recession hits order frequency
2. **Uber Eats bundling** — Uber One's rides + delivery combination could erode DoorDash's share in key metros
3. **Gig worker regulation** — Federal or state reclassification of Dashers as employees would destroy the unit economics model
4. **International execution** — Integrating Wolt + Deliveroo while building a new tech stack is a massive operational challenge
5. **Insider selling pace** — CEO's routine selling is large in absolute terms; watch for acceleration
6. **Advertising growth rate** — If ad revenue growth stalls, the margin expansion thesis weakens

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